



THE CHALLENGER



THE HBM SPECIALIST

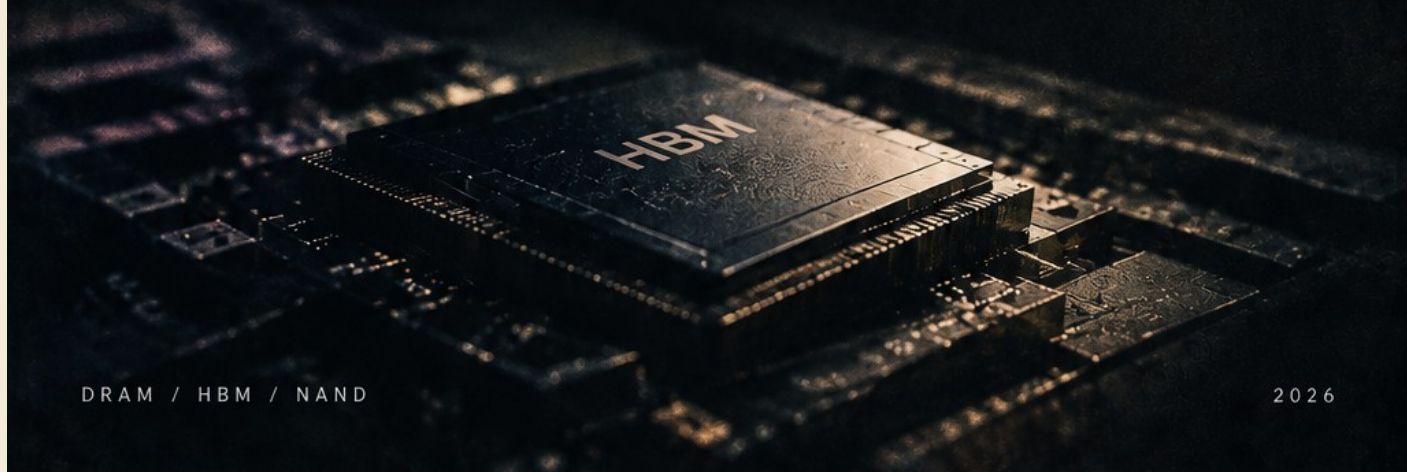
SAMSUNG

THE GIANT



THE MEMORY WAR

Three Giants. One AI Memory Supercycle.



The Memory War

Three Giants. One AI Memory Supercycle.

Micron Technology (NASDAQ: MU) | SK hynix (KRX: 000660, NASDAQ: SKHY) | Samsung Electronics (KRX: 005930)

Research date: 23 September 2026 | Reference prices: close of 21 and 22 September 2026 | Target horizon: 12 months

Author: Ridwan

Table 1. Recommendation summary

Summary	Micron	SK hynix	Samsung Electronics
Rating	HOLD	BUY	BUY
Conviction	Medium	Medium	Medium-High
Reference price	US\$1,050	KRW 1,840,000	KRW 276,500
12-month price target	US\$1,250	KRW 2,600,000	KRW 390,000
Upside / downside	+19%	+41%	+41%
Average consensus target	US\$1,515	KRW 3,184,025	KRW 475,850
52-week range	US\$154.65 to 1,255	KRW 333,000 to 2,987,000	KRW 82,400 to 374,500
Two-year forward P/E (est.)	~6.8x (FY27E)	~4.4x (2027E)	~4.4x (2027E)
Position size	1% to 2%	2% to 4%	3% to 5%

Source: Investing.com, S&P Global via StockAnalysis, StockInvest (prices and consensus as of 18 to 22 Sep 2026). Targets, P/E and position sizes are the author's calculations.

Rating definitions: BUY means an expected 12-month total return above 25%, HOLD between 0% and 25%, and SELL below 0%. I set the BUY bar higher than the usual 15% to 20% because memory stocks swing far more than the market (Micron's beta is about 2.2).

INTRODUCTION

AI is usually framed as a race for compute. But as models get bigger and data centers get hungrier, memory bandwidth and capacity start to matter just as much. That is where HBM (High Bandwidth Memory), server DRAM, fab capacity and the pricing power of the three largest memory makers all meet.

Memory has been one of the most cyclical corners of the chip industry for more than a decade. Oversupply and falling prices give way to shortages and price spikes, and then the whole thing repeats. Generative AI could break that pattern, or at least bend it. Every AI accelerator that ships needs HBM sitting right next to it, so memory demand is now tied directly to accelerator volumes.

Research question: is AI turning memory into a structural growth business with a much longer runway, or are we just at the top of another cycle that will eventually roll over like the ones before it?

THE BIG THREE

This report looks at the three largest memory producers. Each came into the AI era from a different starting point.

Company	Role	Starting position in the AI era
Micron	The Challenger	US-based DRAM maker. After years in third place in DRAM, it now builds its growth story around AI and HBM.
SK hynix	The HBM Specialist	Holds the strongest HBM position today as the main HBM supplier for high-end AI accelerators. The question is whether that lead survives HBM4 and the generations after it.
Samsung	The Giant	The largest memory producer by scale, with DRAM, NAND and a foundry under one roof. The question is whether it can execute in HBM as well as it already does in DRAM and NAND.

Micron, the challenger

Micron is the only major memory maker based in the United States. That matters more than it used to, now that trade policy and supply-chain security shape so much of the chip business. It has usually ranked third in DRAM, but HBM3E, its HBM4 plans and new US fabs backed by government incentives have given it a different kind of momentum.

SK hynix, the HBM specialist

SK hynix earned its HBM lead by partnering early, and closely, with the companies building AI accelerators. What I want to test is whether that head start holds once competitors catch up on HBM4 and later generations, and how SK hynix balances HBM spending against its regular DRAM and NAND business.

Samsung, the giant

Samsung has the biggest production base and the most integrated portfolio of the three: DRAM, NAND and its own foundry. It fell behind in HBM qualification at key customers, but it has the scale and the balance sheet to close the gap. The open question has always been how fast it can execute.

THE BATTLEFIELD

I am not trying to produce a simple ranking. Each arena below is a different business with its own evidence, and the three companies do not win in the same places. The last column shows where things stood in September 2026.

Table 2. Competitive arenas and findings

Arena	What is tested	Findings (September 2026)
DRAM	Market share, bit shipments, price trends, and how much goes to servers versus consumer devices	Samsung is back at number one with 39% revenue share in Q2 2026. SK hynix fell to 26% from 39% a year earlier. CXMT rose to 10% from 4%.
HBM	The move from HBM3E to HBM4 and beyond: how quickly each company qualifies at key customers and adds capacity	SK hynix still leads with 50%, but Samsung jumped from 21% to 33% in one quarter on the back of HBM4. Micron has 18%.
NAND	Revenue mix, price levels, and how badly NAND suffers in a downturn compared with DRAM	TrendForce expected NAND contract prices to rise 70% to 75% QoQ in 2Q26. Samsung expects server SSDs to make up more than 60% of its NAND mix this year.
AI exposure	How much demand comes from AI data centers and how fast the mix is shifting toward high-value memory	Micron's data center revenue passed US\$25 billion in FQ3'26. KB Securities estimates that about 70% of SK hynix's Q2 sales went to big tech and AI data centers.
CAPEX	How much capacity is being added, where the technology money goes (node, HBM, packaging), and how much cash it eats	Micron spent about US\$27 billion in FY26 and plans more than the mid-US\$40 billion range in FY27. SK hynix is in the high KRW 40 trillion range for 2026. Samsung plans more than KRW 110 trillion for facilities and R&D in 2026.
Economics	Gross margin, operating margin, free cash flow and relative ROIC/ROA	Operating margins in the latest quarter: Micron about 80%, SK hynix 76%, Samsung's DS division 70%.
Market	Share price performance, valuation (P/E, P/B, EV/EBITDA) and what the market expects	Two-year forward P/Es of only 4x to 7x. The Korean stocks are 26% to 38% below their 52-week highs, Micron about 16%.

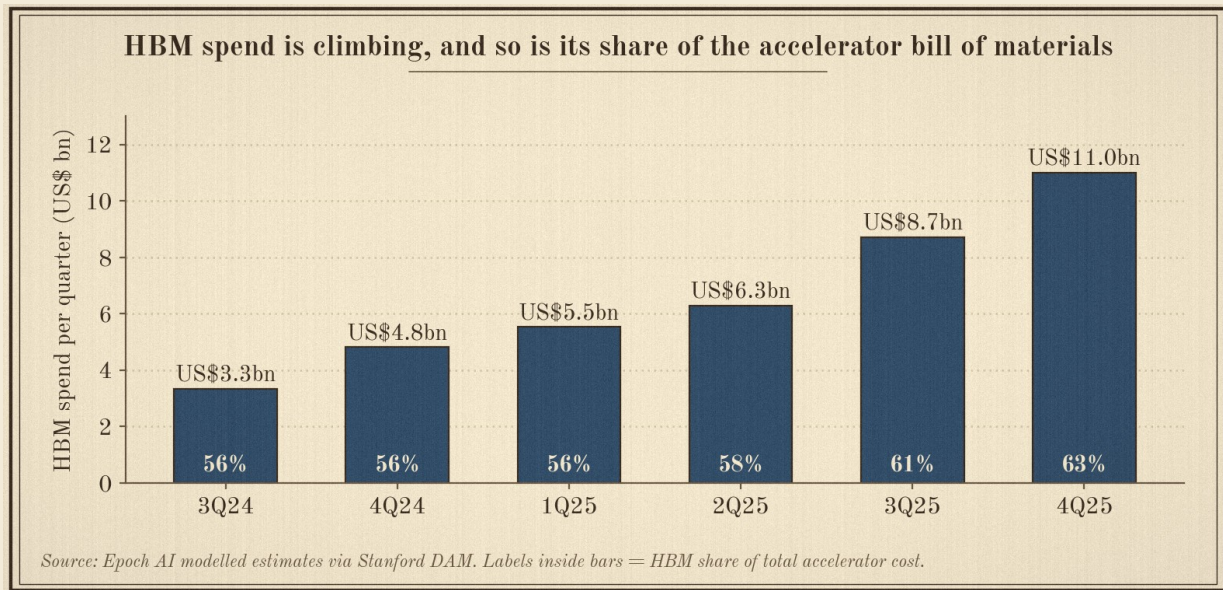
Source: Counterpoint Research, TrendForce, company quarterly reports, KB Securities via TradingKey; author's calculations.

WHY MEMORY BECAME THE BOTTLENECK

For most of the last decade the easiest way to make an AI system faster was to add more GPUs. SK hynix's August 2026 newsroom series on AI infrastructure argues that this formula is wearing out. It cites the "AI and Memory Wall" paper from UC Berkeley, ICSI and LBNL: over the past 20 years, peak server FLOPS grew about threefold every two years, while DRAM bandwidth grew only 1.6 times and interconnect bandwidth 1.4 times over the same intervals. Compute ran ahead. Memory did not keep up.

Inference and agentic AI widen that gap. Every token a model generates has to look back at a key-value (KV) cache of everything it has already processed. SK hynix notes that in long-context settings this cache can be larger than the roughly 140 GB needed just to hold the weights of a 70-billion-parameter model, and KAIST's Professor Hoi-Jun Yoo estimates that more than half of a GPU's work on a typical chatbot query is moving data rather than computing on it. Software helps. Google's TurboQuant, presented at ICLR 2026, squeezes a 16-bit KV cache down to about 3 to 4 bits. But the same article points out that compression is close to its theoretical limit, so the next gains have to come from hardware: HBM today, and further out HBF, CXL and processing-in-memory.

The accelerator bill of materials shows the result. Epoch AI's estimates, published through Stanford's memory price dataset, put HBM at 55.9% of average accelerator cost in 3Q24 and 63.4% in 4Q25, while quarterly HBM spend more than tripled to about US\$11 billion. By the end of 2025 HBM was worth more than the logic die, the packaging and everything else in the package combined.

Figure 1. HBM spend and its share of accelerator cost

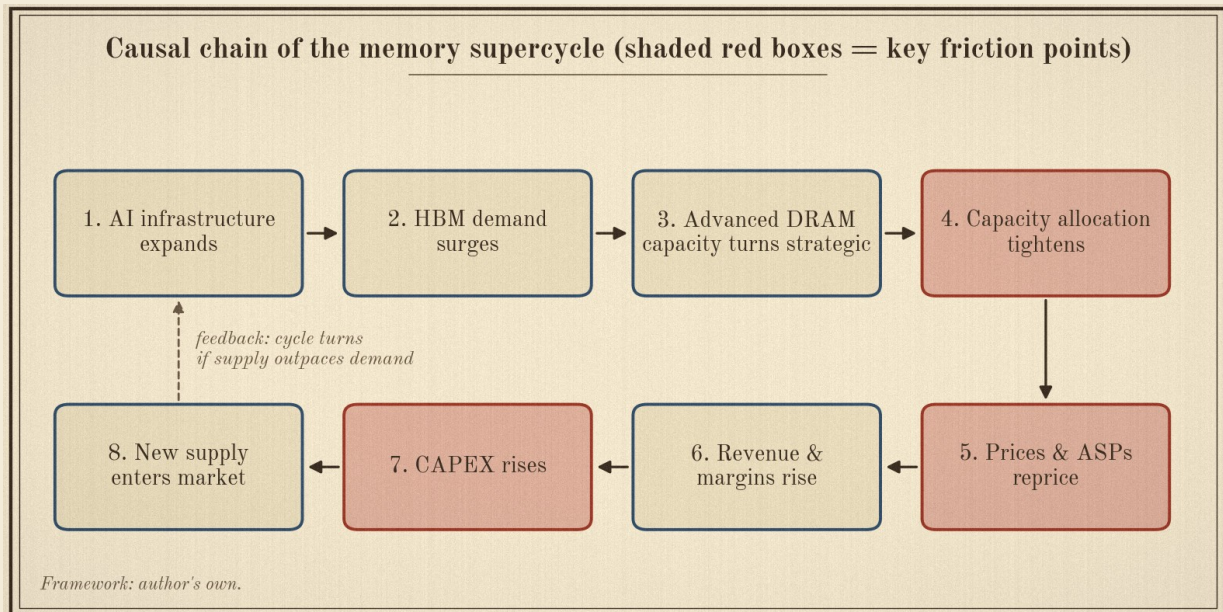
That is why I treat stage 2 of the chain below, HBM demand, as the least controversial link. The debate is not whether AI needs more memory. It is how much of that demand turns into pricing power, and for how long.

THE MEMORY SUPERCYCLE

The framework is a simple chain of cause and effect. It shows how AI demand could produce a memory supercycle instead of an ordinary upcycle:

1. AI infrastructure grows quickly, funded by heavy spending from cloud providers and AI model developers.
2. HBM demand jumps, because each new generation of AI accelerator needs more memory and more bandwidth.
3. Advanced DRAM capacity becomes strategic. Every wafer that goes to HBM is a wafer that does not go to conventional DRAM.
4. Capacity allocation tightens across the industry as producers put high-margin products first.
5. Prices and ASPs (Average Selling Prices) move, both for HBM and for conventional DRAM that is now in shorter supply.
6. Revenue and margins at all three companies follow the changes in price and mix.
7. Capex rises at all three companies as they build new capacity and chase the next HBM generation.
8. New supply eventually arrives. If it comes faster than real demand grows, it can rebalance the market or push prices back down.

The interesting part is friction. For this cycle to last longer than the old ones, something along the chain has to slow down the usual correction. The question is where that happens.

Figure 2. The causal chain of the memory supercycle and its friction points

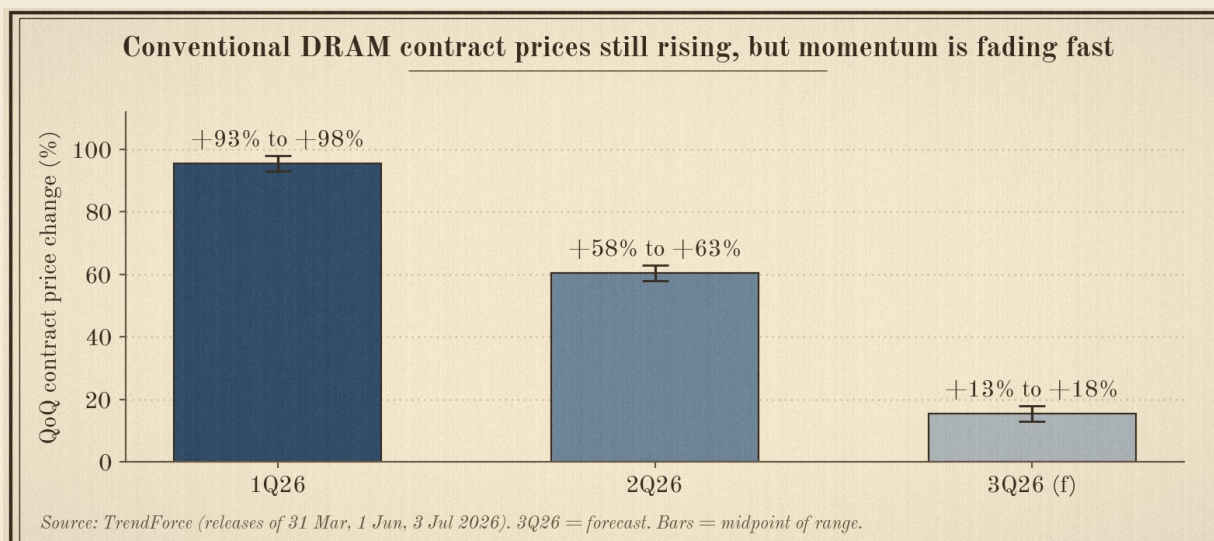
Testing the chain with data

Below, I check each link against current data. The friction column is my own judgment of how much each stage slows the cycle's usual self-correction. More friction means a longer upcycle.

Table 3. Testing the causal chain

Stage	Evidence as of September 2026	Friction
1. AI infrastructure	DRAM industry revenue reached US\$154.73 billion in Q2 2026, up 59.5% QoQ. Server DRAM alone was US\$75.58 billion in 2Q26, up 53% QoQ.	Low
2. HBM demand	Micron says its HBM3E and HBM4 are sold out through 2027, with orders already booked into 2028. Samsung expects HBM4 sales to more than triple QoQ in Q3.	Low
3. Strategic DRAM capacity	Each HBM stack uses several large DRAM dies, which pulls capacity away from DDR4 and consumer parts. At one point DDR4 spot prices were higher than HBM3E per gigabit.	Medium
4. Allocation tightens	Micron has 16 Strategic Customer Agreements with about US\$100 billion of minimum contracted revenue. SK hynix has LTAs with around 10 customers. Samsung puts 60% to 70% of capacity under long-term contracts.	High
5. Prices and ASPs	Conventional DRAM contract prices rose 93% to 98% in 1Q26 and 58% to 63% in 2Q26, with 13% to 18% forecast for 3Q26. Floor-price clauses in LTAs limit the downside.	High
6. Revenue and margins	Operating margins of 70% to 80% at all three companies in the latest quarter, the highest the industry has ever seen.	n/a
7. CAPEX	Micron plans more than the mid-US\$40 billion range for FY27. SK hynix pulled M15X forward and opens the Yongin Fab 1 cleanroom in early 2027. Cleanroom and EUV lead times slow how fast supply can respond.	High
8. New supply	Yongin, M15X, Micron's US and Taiwan fabs, and CXMT's Shanghai fab (mass production in 2027). Counterpoint puts the earliest turning point at Q4 2027.	Decides direction

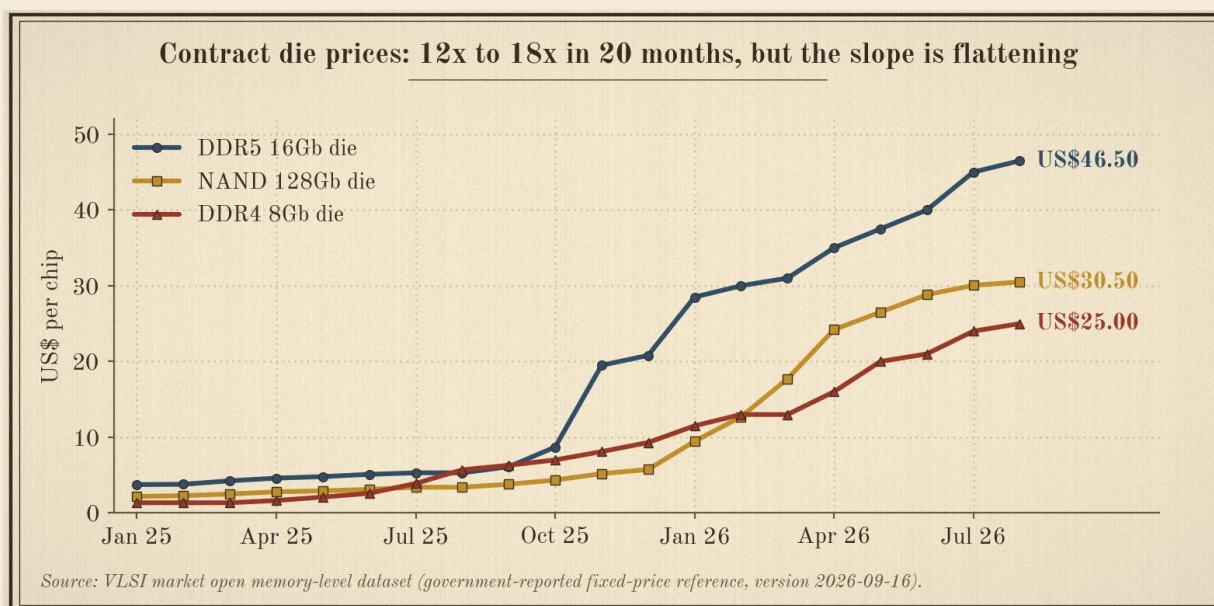
Source: TrendForce, Counterpoint Research, Micron, SK hynix, Samsung Electronics, SoftwareSeni. Friction ratings are the author's assessment.

Figure 3. Quarterly change in conventional DRAM contract prices

The price data says two things. Contract prices are still going up every quarter, so the cycle has not turned. But the size of the increases fell from close to 100% QoQ to the mid-teens in just two quarters. TrendForce puts this down to PC and smartphone buyers running out of room to pay, plus a high base. Micron said much the same in its FQ4 guidance, where it flagged a meaningful moderation in price increases. So stage 5 is past its fastest point. Prices are still rising, just a lot more slowly.

Price levels, and what the forecasters expected

Quarterly percentage changes hide how far prices have actually travelled. Government-reported fixed-price references for individual dies show the level. Between January 2025 and August 2026 a DDR5 16Gb die went from US\$3.75 to US\$46.50 (12.4x), a DDR4 8Gb die from US\$1.35 to US\$25.00 (18.5x) and a NAND 128Gb die from US\$2.18 to US\$30.50 (14.0x). DDR4 moved the most because suppliers were ending production while customers still needed it, the same end-of-life squeeze Micron flagged back in September 2025.

Figure 4. Contract die prices, January 2025 to August 2026

The monthly series tells the same story as the TrendForce quarterly numbers. November 2025 alone added 124% to the DDR5 die price. July to August 2026 added 3.3%, and NAND rose just 1.5% in August. Retail prices, which move first because nobody buys them on contract, have already turned. The cheapest DDR5 listed on Amazon peaked at US\$13.28 per GB in March 2026 and was US\$10.30 in August, according to Keepa data compiled by Stanford DAM. Consumer NVMe flash was still around US\$0.09 per GB, about double a year earlier.

It is also worth looking back at how far off the January forecasts were. SK hynix's own 2026 outlook piece leaned on Bank of America's call for a "supercycle similar to the boom of the 1990s". Nine months later, most of those numbers look small.

Table 4. January 2026 forecasts against what happened

Forecast (January 2026)	Source	What happened by September 2026
2026 DRAM ASP up 33%, DRAM revenue up 51%	BofA	DDR5 16Gb die up 124% from December 2025 to August 2026. Conventional DRAM contract prices rose 93% to 98% in 1Q26 alone, and DRAM industry revenue grew 59.5% QoQ in 2Q26.
2026 NAND ASP up 26%, NAND revenue up 45%	BofA	NAND 128Gb die up 431% from December 2025 to August 2026. TrendForce expected NAND contract prices to rise 70% to 75% QoQ in 2Q26.
2026 HBM market of US\$54.6 billion, up 58%	BofA	In December 2025 Micron sized the HBM market at about US\$35 billion in 2025 rising to about US\$100 billion in 2028, two years earlier than its prior view.
HBM3E about two-thirds of 2026 HBM shipments	Analyst consensus	HBM4 volume shipments started at all three companies in the first half: Samsung and Micron in calendar Q1, SK hynix in Q2.
Global chip market of US\$975 billion in 2026, memory up 30%	WSTS	TrendForce now puts the memory market alone at US\$551.6 billion in 2026.
SK hynix about 70% of HBM4 on Nvidia Rubin	UBS	The Rubin-specific split is not disclosed. Counterpoint puts SK hynix at 50% of total HBM revenue in Q2 2026, with Samsung up to 33%.

Source: SK hynix Newsroom, "2026 Market Outlook: Focus on the HBM-Led Memory Supercycle" (5 January 2026), citing BofA, WSTS, Goldman Sachs and UBS; VLSI die price references; TrendForce; Micron FQ1 FY2026 earnings deck; Counterpoint Research.

The lesson I take from this is not that the forecasters were careless. It is that a supply-constrained market moves further than anyone models, and it usually does so in both directions. The same models that were too cautious on the way up will probably be too slow on the way down.

THE DARK SIDE: THE MEMORY PARADOX

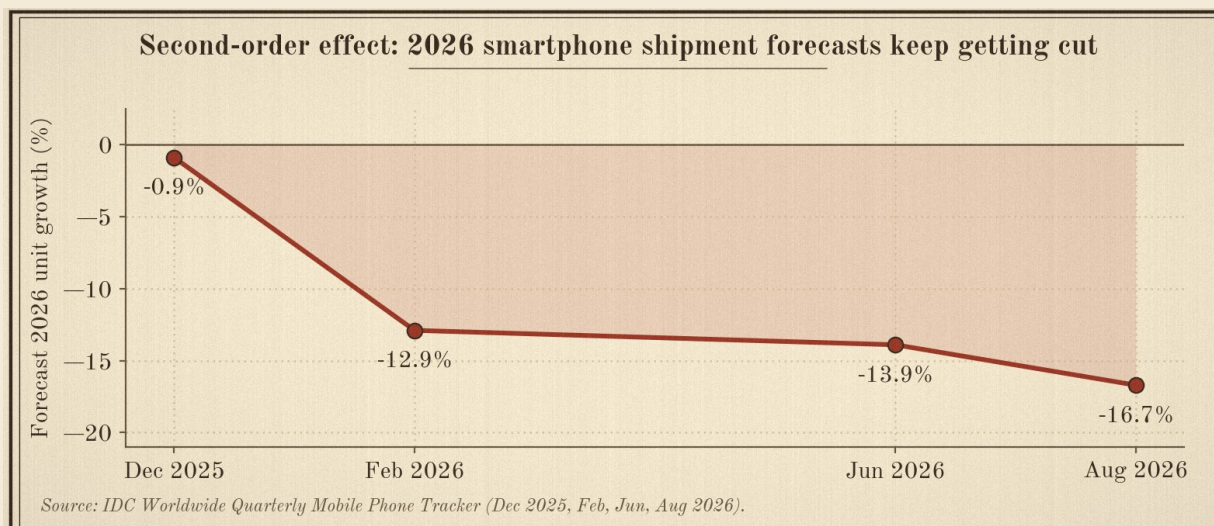
The memory paradox. AI can push up demand for HBM and server memory while making life harder for everyone else who buys memory. When fabs shift capacity toward high-margin HBM, there is less DRAM and NAND left for phones, PCs and consumer electronics.

That creates a second-order effect. The AI boom raises the cost of building a phone or a laptop through higher prices and tighter allocation of conventional memory, even for products that have nothing to do with AI. It is worth tracking because it feeds into consumer spending power and into the margins of electronics makers well outside the chip industry.

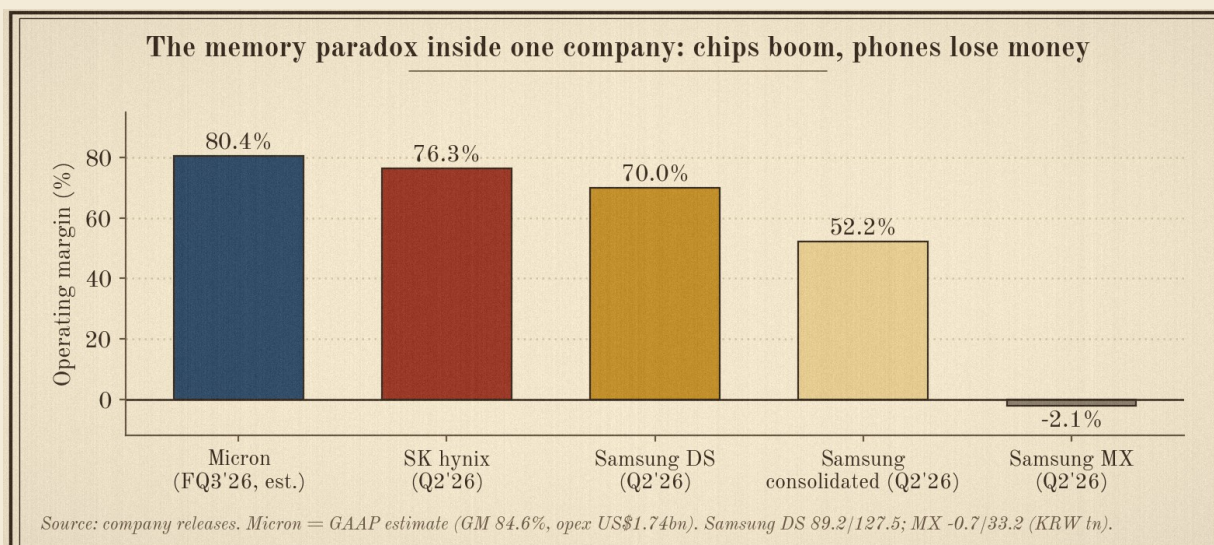
What the data shows

The paradox is already in the numbers. IDC says global smartphone shipments fell 7.4% YoY in Q2 2026 to 276.3 million units, the second quarterly decline in a row. Memory costs are up almost 300% in a year and now make up more than 65% of the bill of materials on low-end phones. IDC now expects 2026 shipments to drop 16.7% to just over 1 billion units, the worst year the industry has ever had, with the second half down 27.2%. Average selling prices go the other way, up 27.6% to US\$581.

PCs look similar. Gartner expects 2026 PC shipments to fall 10.4%, with memory rising to 23% of a PC's bill of materials from 16% in 2025. It also thinks laptops under US\$500 will be gone by 2028.

Figure 5. IDC revisions to the 2026 global smartphone shipment forecast

The clearest example is inside Samsung. In Q2 2026 its Device Solutions (chip) division made KRW 89.2 trillion of operating profit on KRW 127.5 trillion of revenue. Its MX and Networks (phone) division lost KRW 0.7 trillion on KRW 33.2 trillion of revenue. The price increases that made the chip business so profitable are the same ones squeezing the phone business.

Figure 6. Operating margins in the latest quarter: chips versus phones

What it means for the cycle. Weak consumer demand is how memory cycles normally correct, and it is already happening. There is a twist, though. IDC found that Apple and Samsung both gained smartphone share in Q2 because they locked in memory supply early, so the shortage is rewarding scale. Samsung gets some of its MX loss back as market share. For the cycle as a whole, softer consumer demand is the main reason DRAM price increases slowed in 3Q26.

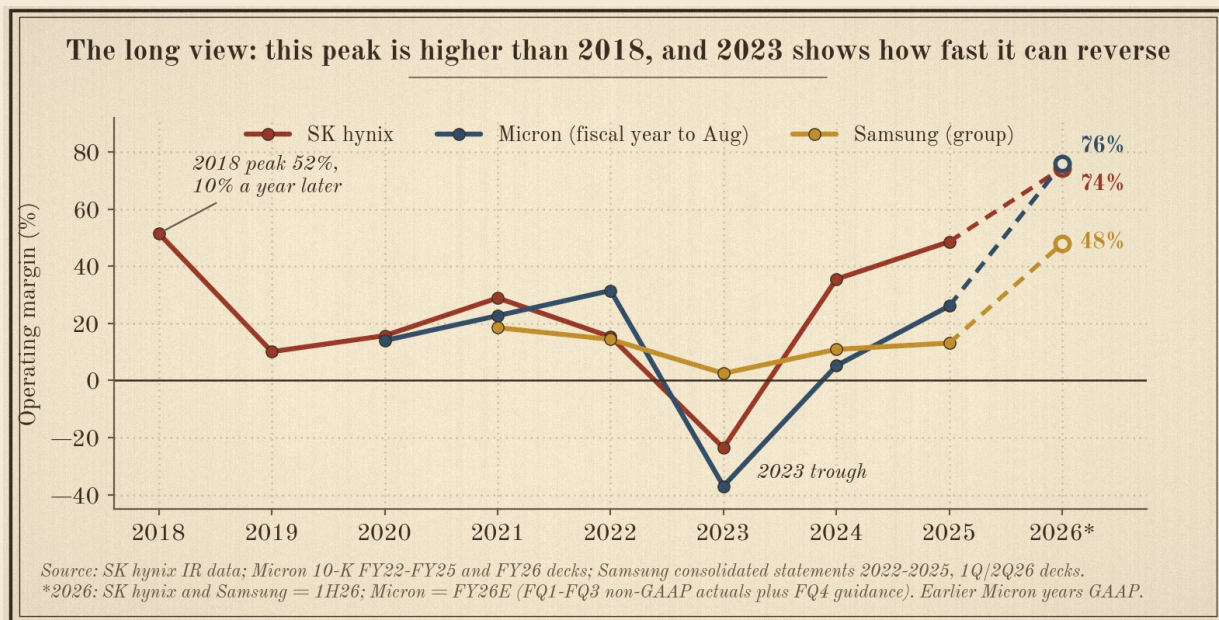
THE CYCLE IN CONTEXT: 2018 TO 2026

The research question is really about whether this time is different. The most useful test I have is to put the current numbers next to the last full cycle. SK hynix gives the cleanest long series because it is close to a pure memory company, and its IR data goes back to 2018.

Table 5. Annual revenue and operating margin, last full cycle to today

Year	SK hynix revenue (KRW tn)	SK hynix op. margin	Micron revenue (US\$ bn, FY)	Micron op. margin	Samsung revenue (KRW tn, group)	Samsung op. margin
2018	40.4	51.5%	n.c.	n.c.	n.c.	n.c.
2019	27.0	10.1%	n.c.	n.c.	n.c.	n.c.
2020	31.9	15.7%	21.4	14.0%	n.c.	n.c.
2021	43.0	28.9%	27.7	22.7%	279.6	18.5%
2022	44.6	15.3%	30.8	31.5%	302.2	14.4%
2023	32.8	-23.6%	15.5	-37.0%	258.9	2.5%
2024	66.2	35.5%	25.1	5.2%	300.9	10.9%
2025	97.1	48.6%	37.4	26.1%	333.6	13.1%
2026*	131.9 (1H)	74.4%	129.0 (FY26E)	75.9%	305.4 (1H)	48.0%

Source: SK hynix IR financial data (K-IFRS); Micron Forms 10-K FY2022 to FY2025 (GAAP, fiscal years ending late August or early September); Samsung Electronics consolidated financial statements 2022 to 2025 and 1Q/2Q 2026 earnings decks. *Micron FY26E = FQ1 to FQ3 non-GAAP actuals plus the FQ4 guidance midpoint. n.c. = not covered by the filings reviewed.

Figure 7. Annual operating margin, 2018 to 2026

Three things stand out. The first is size. SK hynix made KRW 98.2 trillion of operating profit in the first half of 2026, 4.7 times its full-year profit at the 2018 peak (KRW 20.8 trillion). On guidance, Micron's FY26 revenue of about US\$129 billion is roughly 3.5 times FY2025 and more than four times its FY2022 record. Korea's memory chip export bill was already US\$94.6 billion in 2025, up 121% from the 2023 trough of US\$42.9 billion, and that was before this year's price moves (UN Comtrade via Nitisagar Advisory).

The second is how fast the last peak reversed. SK hynix's margin fell from 51.5% in 2018 to 10.1% in 2019. Four years later the two memory pure plays were losing money at the same time, SK hynix at -23.6% and Micron at -37.0%. Nothing in the current numbers makes that impossible. It only takes supply catching up with demand for a few quarters.

The third is that the balance sheets going into this peak are far stronger. SK hynix carried KRW 29.5 trillion of interest-bearing debt at the end of 2023. At the end of June 2026 it had KRW 69.4 trillion of net cash. Micron went from US\$3.3 billion of net debt a year ago to US\$24.4 billion of net cash. Cash like that lets a company keep buying back stock and keep investing through a downturn instead of cutting capex in a panic, which is part of what made past troughs so deep. So my answer to the context question is that the amplitude of this cycle is bigger than 2018, and so is the cushion. Neither of those means the cycle has been repealed.

MICRON, SK HYNIX AND SAMSUNG: EQUITY RESEARCH

Executive summary

Industry view. I think AI has stretched this cycle out, but I do not think it has ended cyclicity. Long-term contracts with price floors, slow cleanroom and EUV lead times, and the sheer number of wafers HBM uses all make this upcycle longer than normal. On the other side, price increases are slowing, capex is surging, CXMT is taking share and consensus earnings for 2028 are flat. Memory stocks trade at 4x to 7x forward earnings, which is where they usually trade when the market believes earnings have peaked. From here, returns depend mostly on how long profits stay near the top.

Samsung Electronics: BUY, target KRW 390,000 (+41%) over 12 months, Medium-High conviction. Samsung gets the most out of rising conventional DRAM prices because it has the biggest DRAM share (39%). It also has the fastest HBM momentum, with its share jumping from 21% to 33% in a single quarter. On top of that, it plans to return KRW 90 to 110 trillion to shareholders in 2026, roughly 6% of its market value. Bull case +103%, bear case -35%.

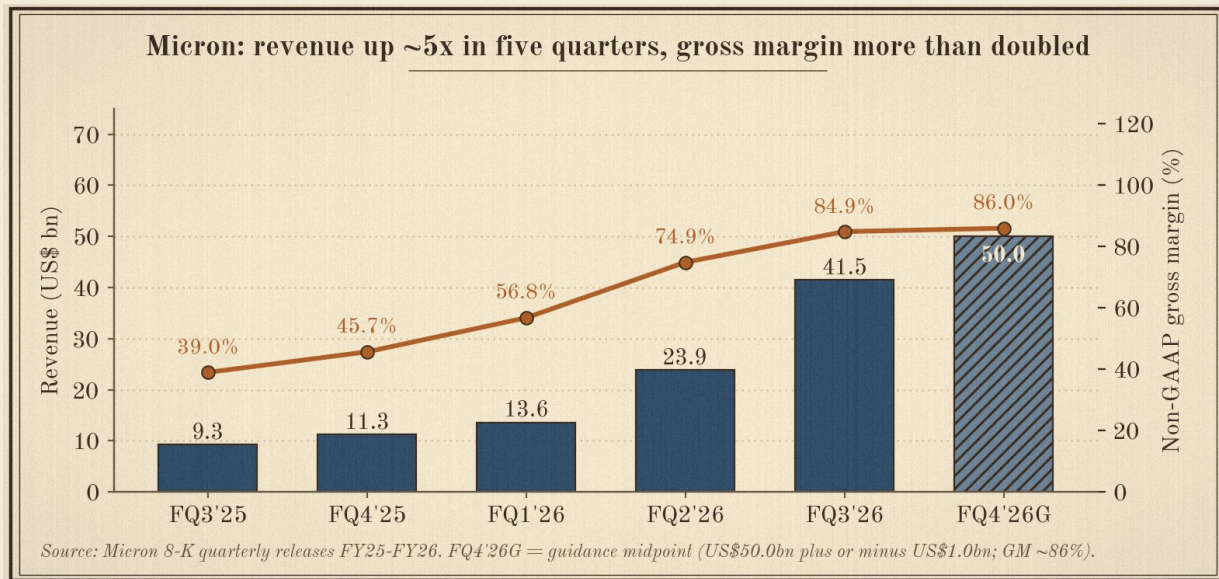
SK hynix: BUY, target KRW 2,600,000 (+41%), Medium conviction. It trades at about 3.2x 2027E EV/EBIT, second only to Samsung at about 2.6x, and at 38% below its high it has fallen the furthest. A KRW 40 trillion buyback and cancellation adds support. I would be more confident if its HBM share had not dropped 8 points in one quarter and its DRAM share had not slipped to 26%. Bull case +107%, bear case -38%.

Micron: HOLD, target US\$1,250 (+19%), Medium conviction. On growth, Micron is the strongest of the three, with about US\$100 billion of minimum contracted revenue across 16 SCAs and the fastest DRAM revenue growth in Q2 2026. The issue is price. At about 6.8x FY27E earnings it trades around 55% above the Korean pair, it has the smallest HBM share (18%), and the FQ4 report on 30 September is a binary event that options price at roughly 10% either way. I would upgrade if FQ1'27 guidance keeps gross margin above 86% and contracted revenue keeps growing. Bull case +81%, bear case -43%.

Fundamental analysis

Recent financial metrics

Micron (FQ3 FY2026, quarter ended 28 May 2026). Revenue came in at US\$41.46 billion, up 74% QoQ and 346% YoY, and 17.6% ahead of the US\$35.25 billion consensus. Non-GAAP gross margin was 84.9% (GAAP 84.6%), against 39.0% a year earlier. Non-GAAP EPS was US\$25.11 and GAAP net income US\$28.24 billion. DRAM brought in US\$31.3 billion, 76% of the total and up 343% YoY, while bit shipments grew only in the low single digits. Almost all of the growth came from price. Data center revenue topped US\$25 billion and data center SSDs topped US\$5 billion. Operating cash flow was US\$25.39 billion and adjusted FCF US\$18.3 billion. Micron paid down US\$4.4 billion of debt, finished the quarter with US\$5.7 billion of debt and US\$24.4 billion of net cash, and was upgraded to BBB+.

Figure 8. Micron: quarterly revenue and non-GAAP gross margin

Micron by business unit. Every business unit set a record in FQ3'26. The highest margins were not in the cloud unit, which carries HBM, but in core data center and in mobile and client, which sell mostly conventional DRAM and NAND. That fits the rest of the evidence in this report: in 2026, conventional memory has had bigger price gains than HBM.

Table 6. Micron results by business unit, FQ3 FY2026

Business unit	Revenue (US\$ m)	QoQ	YoY	Gross margin	Operating margin
Cloud Memory (CMBU)	13,769	+78%	+307%	83%	78%
Core Data Center (CDBU)	11,524	+103%	+653%	87%	83%
Mobile and Client (MCBU)	11,521	+49%	+254%	87%	86%
Automotive and Embedded (AEBU)	4,634	+71%	+311%	79%	75%
Total (non-GAAP)	41,456	+74%	+346%	84.9%	81.2%

Source: Micron FQ3 FY2026 earnings deck, 24 June 2026. Business unit margins as reported; total margins are non-GAAP.

What the SCAs actually say. The 24 June deck says more about the 16 strategic customer agreements than the headline number does. Most run five years, from calendar 2026 to the end of 2030 (three years for auto). Together they cover about 20% of Micron's DRAM volume and a third of its NAND volume over that period, and they are take-or-pay.

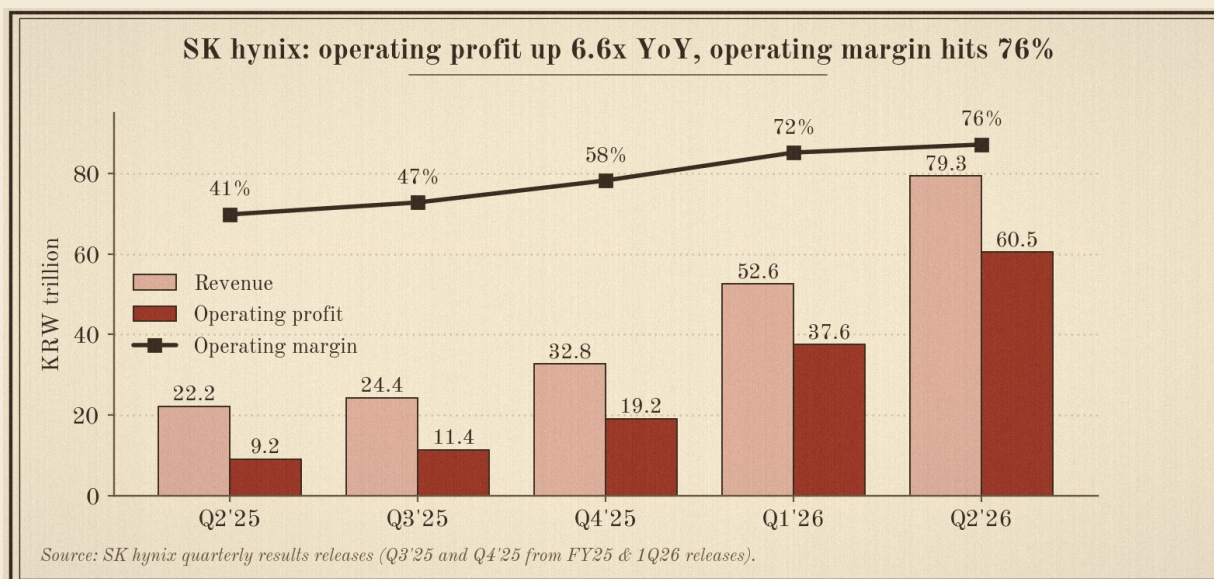
The largest carry a ceiling at the calendar 2Q26 market price and a floor that, in management's words, gives "a very robust gross margin... well above our peak quarterly margins in any past cycle". Fourteen of the 16 add up to about US\$100 billion of revenue at minimum contract prices, and Micron expects about US\$22 billion of cash deposits and related commitments. Once all planned SCAs are signed, about half or more of revenue will sit under them, and about 40% will be at fixed prices or capped near 2Q26 levels.

One point of precision. The US\$100 billion is often described as RPO, but it is not the accounting figure. Micron's 10-Q for the quarter ended 28 May 2026 put remaining performance obligations at about US\$5 billion, because most of the agreements were signed after the quarter closed and RPO only counts minimum volumes at minimum prices on contracts with price bands. The FY2026 10-K should show a much bigger number. For the stock, the ceiling matters as much as the floor. Micron has given up part of its upside in exchange for downside protection.

SK hynix (Q2 2026). Revenue was KRW 79.32 trillion, up 51% QoQ and 257% YoY. Operating profit reached KRW 60.54 trillion, a 76% margin and 557% above last year, with an 81% EBITDA margin. Net profit of KRW 93.92 trillion (a 118% margin) included large non-operating gains, so I leave it out of the P/E work. DRAM ASP rose about 30% QoQ and NAND ASP rose in the mid-50% range. The company ended the quarter with KRW 88

trillion of cash and KRW 69.4 trillion of net cash, before the ADR money came in. HBM4 went into mass production during the quarter with yields close to mature HBM3E levels.

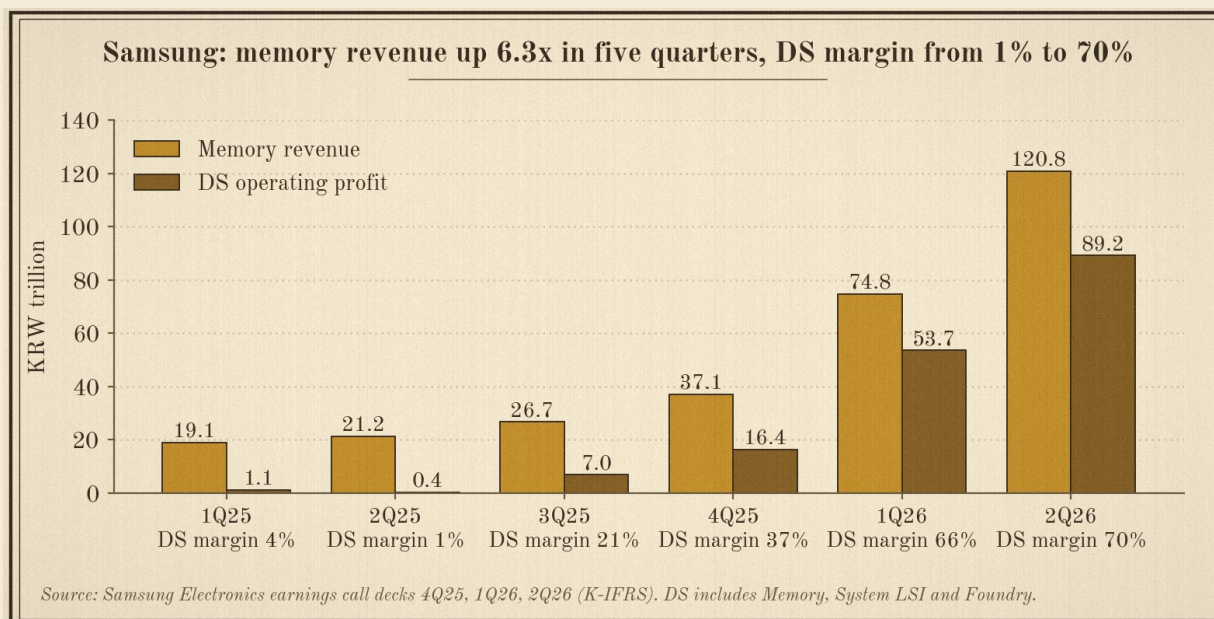
Figure 9. SK hynix: quarterly revenue, operating profit and operating margin



SK hynix cash flow and the non-operating line. Operating cash flow was KRW 65.71 trillion in Q2 2026 against KRW 10.67 trillion of capex, so free cash flow was about KRW 55 trillion in a single quarter, more than SK hynix's entire operating cash flow for 2025 (KRW 53.6 trillion).

The KRW 62.17 trillion of net non-operating gains that pushed net profit above revenue sat almost entirely in "other" (KRW 60.89 trillion). The release does not break it down. In 1Q26 the company attributed KRW 9.94 trillion of a similar line to valuation gains on investment assets, so I treat the whole amount as non-recurring. The annualised ROE of 176% reported for Q2 is a product of those gains, not of the operating business. On the product side, 321-layer NAND is already the largest share of output and should reach about half of domestic capacity by year-end, and SOCAMM2 sales grew strongly in the quarter.

Samsung Electronics (Q2 2026). Consolidated revenue hit a record KRW 171.5 trillion (up 130% YoY) and operating profit a record KRW 89.5 trillion (up 1,814%). Net profit was KRW 71.6 trillion, or KRW 10,849 per share. The DS division earned KRW 89.2 trillion on KRW 127.5 trillion of revenue, and servers made up a record share of its sales. Seoul Economic Daily reported that HBM4 yields climbed from under 60% at the February launch to about 80% by August. Samsung also says it was first to ship HBM4E samples to major customers.

Figure 10. Samsung: memory revenue and DS operating profit by quarter

Samsung's own filings add two things. Its half-year business report puts its DRAM revenue share at 39.4% in 1H26 on a DRAMeXchange basis (a company estimate), up from 34.0% in 2025 and close to the 41.5% it held in 2024, which lines up with Counterpoint's 39% for Q2. And the 2Q26 deck shows how uneven the group has become. DS earned KRW 89.2 trillion, Samsung Display KRW 0.7 trillion and Harman KRW 0.4 trillion, while the DX devices division lost KRW 0.8 trillion. Operating cash flow was KRW 105.1 trillion against KRW 14.1 trillion of PP&E purchases. Management expects server DRAM, enterprise SSD and HBM to keep the market undersupplied in the second half "despite partial demand moderation in mobile and PC", and the half-year report says the supply-demand gap should widen through next year.

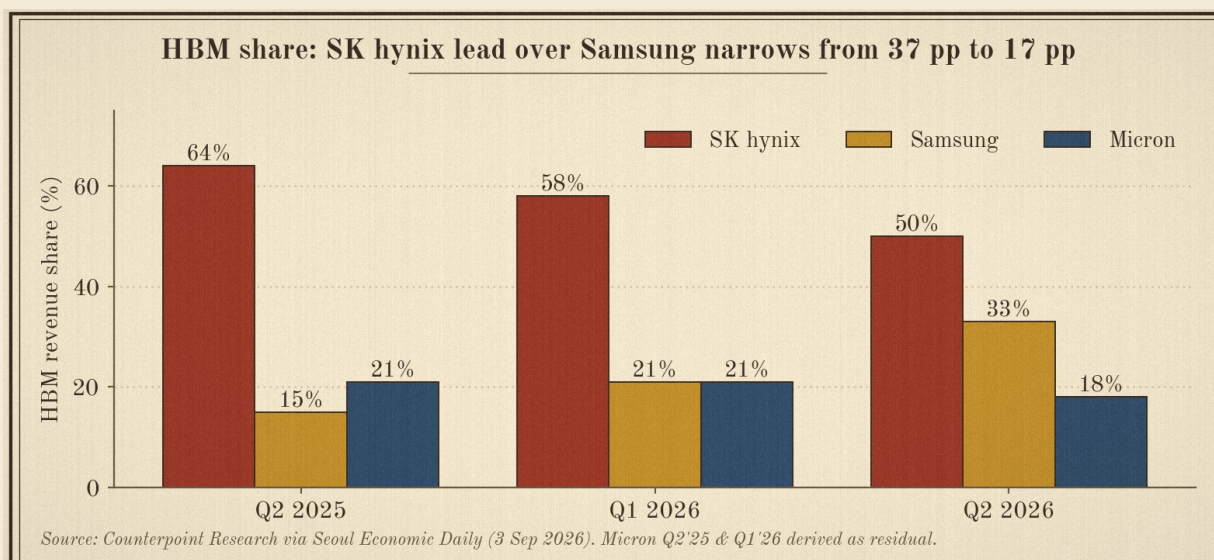
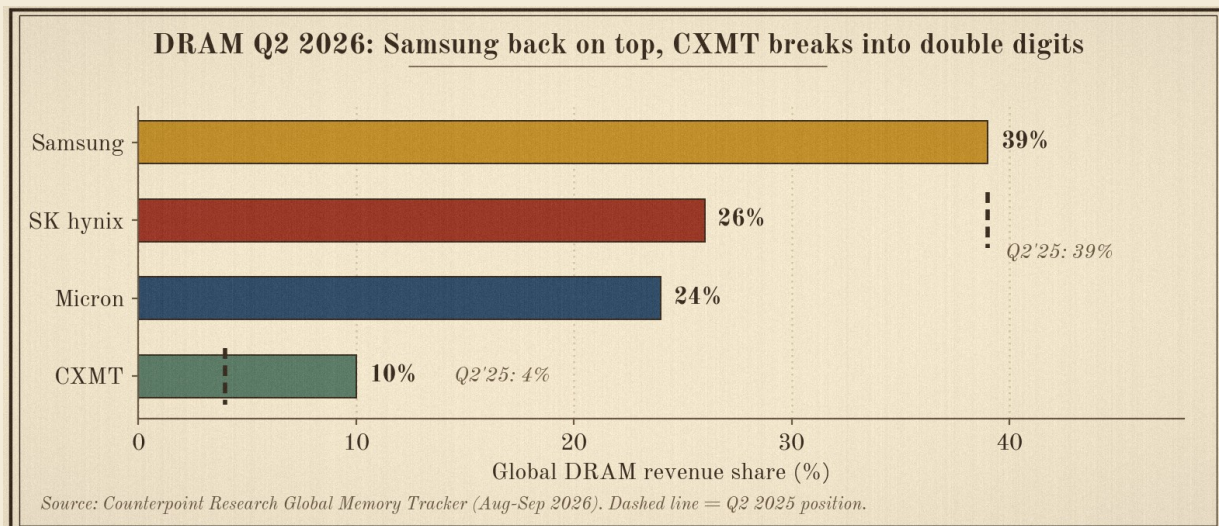
Figure 11. Global HBM revenue share

Figure 12. Global DRAM revenue share, Q2 2026

These two charts go a long way toward answering the SK hynix question. It still leads HBM, but the lead is shrinking fast now that HBM4 is shipping. Its HBM focus has also cost it something elsewhere. Conventional DRAM saw the biggest price gains of 2026, and SK hynix had less of it to sell. Its DRAM share fell 13 points in a year even though revenue more than tripled.

Peer comparison

Table 7. Valuation and fundamentals compared

Metric	Micron	SK hynix	Samsung
Reference price	US\$1,050	KRW 1,840,000	KRW 276,500
Market capitalization (indicative)	~US\$1.2 trillion	~KRW 1,370 trillion	~KRW 1,600 trillion (common shares)
Operating margin, latest quarter	~80% (FQ3'26)	76% (Q2'26)	52% consolidated, 70% DS
HBM share Q2'26	18%	50%	33%
DRAM share Q2'26	24%	26%	39%
One-year forward P/E	~14.3x (FY26E)	~5.2x (2026E)	~6.3x (2026E)
Two-year forward P/E	~6.8x (FY27E)	~4.4x (2027E)	~4.4x (2027E)
Two-year forward EV/EBIT	~5.6x	~3.2x	~2.6x (b)
2027E consensus operating profit	~US\$210 billion (implied)	KRW 391.8 trillion	KRW 544.7 trillion
Latest net cash	US\$24.4 billion	KRW 69.4 trillion (a)	KRW 167.6 trillion
Shareholder returns	Dividend of US\$0.15 per quarter (raised 30%)	KRW 40 trillion buyback and cancellation; over half of 2025 to 2027 FCF	KRW 90 to 110 trillion in 2026

Source: company reports, Counterpoint, FnGuide consensus (via Herald Business), Simply Wall St, Yahoo Finance. P/E and EV/EBIT are the author's estimates (effective tax rate of 22% to 24%, about 745 million SK hynix shares, about 6.6 billion Samsung shares). (a) Before ADR proceeds of about KRW 45 trillion. (b) Common shares only, using end-Q2 2026 net cash of KRW 167.6 trillion from Samsung's 2Q26 earnings deck.

Micron trades at roughly a 55% P/E premium to the Korean names. Some of that is earned. It is US-listed, its SCAs give it unusual revenue visibility, and it is the only large memory supplier based in the US. It also has the smallest HBM share of the three. SK hynix listed ADRs on Nasdaq on 10 July 2026 with the stated goal of narrowing this discount, and even partial convergence in multiples would be upside for the Korean stocks.

Balance sheet and cash flow

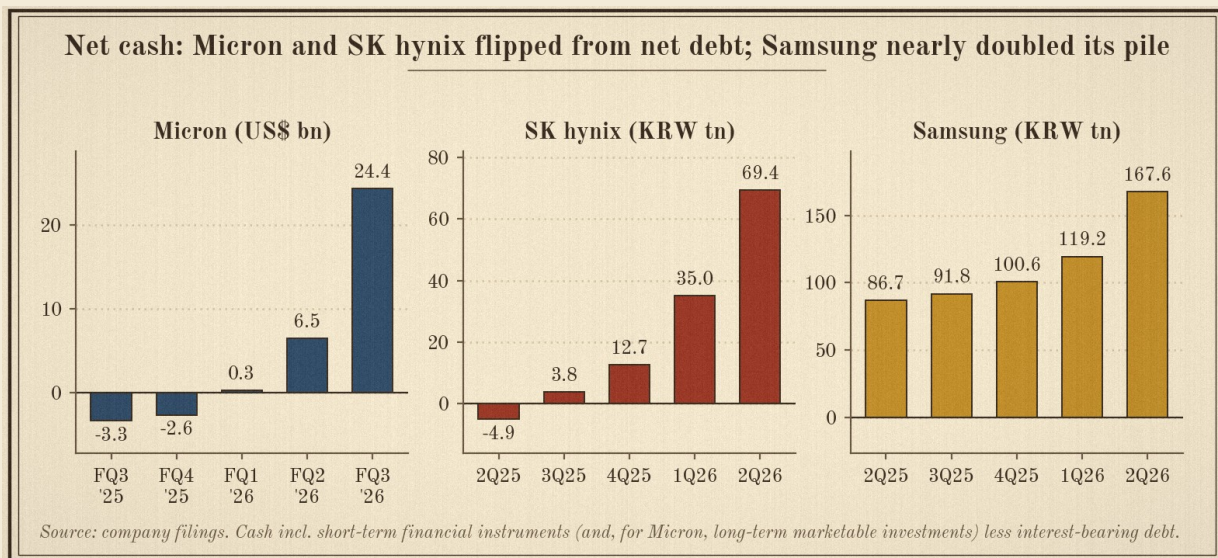
Table 8. Balance sheet and cash flow, latest quarter

Metric	Micron (FQ3'26)	SK hynix (Q2'26)	Samsung (Q2'26)
Cash and short-term investments	US\$30.2 billion	KRW 88.0 trillion	KRW 190.0 trillion

Metric	Micron (FQ3'26)	SK hynix (Q2'26)	Samsung (Q2'26)
Interest-bearing debt	US\$5.7 billion	KRW 18.6 trillion	KRW 22.4 trillion
Net cash	US\$24.4 billion	KRW 69.4 trillion	KRW 167.6 trillion
Operating cash flow, quarter	US\$25.4 billion	KRW 65.7 trillion	KRW 105.1 trillion
Capex, quarter	US\$7.1 billion (net)	KRW 10.7 trillion	KRW 14.1 trillion
Free cash flow, quarter	US\$18.3 billion (adjusted)	about KRW 55.0 trillion	about KRW 91.0 trillion
Capex as % of revenue	17%	13%	8% (group)
Net cash as % of market value	about 2%	about 5%	about 10%

Source: Micron FQ3 FY2026 earnings deck; SK hynix IR financial data and 2Q26 release; Samsung Electronics 2Q26 earnings deck appendices. Korean free cash flow is operating cash flow less purchases of PP&E (author's calculation). Micron cash includes long-term marketable investments. Market values as in Table 7.

Figure 13. Net cash by quarter



Samsung's net cash of KRW 167.6 trillion fills the gap in Table 7. With it, Samsung's two-year forward EV/EBIT comes out at about 2.6x (roughly KRW 1,600 trillion of common-share market value less KRW 167.6 trillion of net cash, over KRW 544.7 trillion of 2027E operating profit). That makes it the cheapest of the three on this measure, below SK hynix at about 3.2x and Micron at about 5.6x. It also puts the KRW 90 to 110 trillion return plan in perspective. Samsung generated about KRW 91 trillion of free cash flow in Q2 alone, so the plan can be funded from roughly one quarter's cash generation at current prices.

Forward outlook

Micron guided FQ4 FY26 revenue to US\$50.0 billion (plus or minus US\$1.0 billion), gross margin to about 86% and non-GAAP EPS to US\$31.00 (plus or minus US\$1.00). As of 21 September, consensus sat a little above that at US\$50.6 billion and EPS of US\$31.27, which implies FY26 revenue of around US\$129.6 billion. FY27 EPS estimates went from US\$103 to US\$155 in 90 days. Management expects FY27 opex to rise by about US\$1 billion and capex to go past the mid-US\$40 billion range.

For SK hynix, consensus operating profit is about KRW 266 trillion in 2026, KRW 391.8 trillion in 2027 and KRW 399.1 trillion in 2028. Management expects Q3 DRAM shipments to grow about 10% QoQ and full-year DRAM bit demand to grow in the mid-20% range. Capex for 2026 is in the high KRW 40 trillion range.

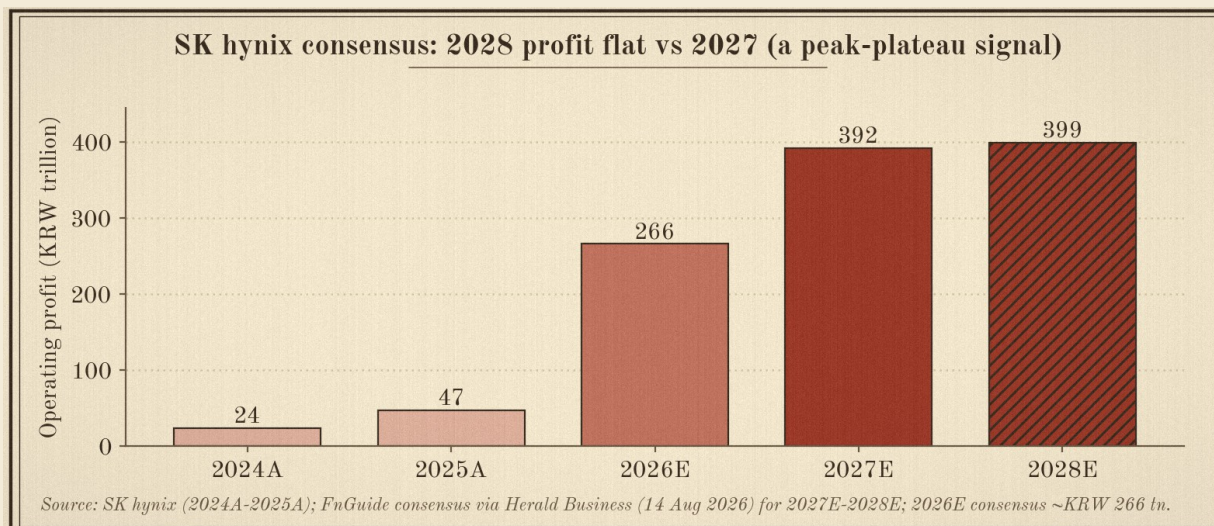
Samsung's Q3 2026 operating profit estimate is around KRW 114 trillion, 12% higher than it was three months ago. Consensus has KRW 544.7 trillion for 2027 and KRW 543.9 trillion for 2028. Management expects the shortage to last through 2028, with 2027 the tightest year. For the industry, TrendForce sees the memory market growing from US\$551.6 billion in 2026 to US\$842.7 billion in 2027, with HBM contract prices rising sharply in 2027.

The supply timeline, from the companies' own decks. Micron expects industry DRAM bit shipments to grow in the low to mid 20s percent in 2026 and NAND bits about 20%, with tight conditions lasting beyond calendar 2027 and supply improving only gradually in 2028. Its own new capacity arrives in a cluster: the Tongluo

fab in Taiwan in mid-2027 (a quarter earlier than planned, with a second cleanroom now under construction), first wafers from Idaho ID1 in mid-2027, Singapore HBM packaging from the first half of 2027 and Idaho ID2 in late 2028. Next-generation DRAM and NAND nodes go into volume in the second half of 2027.

SK hynix opens the Yongin phase 1 cleanroom in early 2027 alongside M15X, and says the P&T7 packaging plant and the M17 NAND fab will be phased in "based on customer demand". Put the two lists together and most of the new supply lands in about twelve months, from early 2027 to early 2028. That is the window where I expect the pricing debate to get serious, and it lines up with Counterpoint's earliest turning point of Q4 2027.

Figure 14. SK hynix operating profit: actuals and consensus



The flat 2028 numbers for both SK hynix and Samsung deserve a second look. Analysts are modeling a plateau. They are not modeling more growth, and they are not modeling a drop either. That is why the low P/Es cut both ways. If the plateau holds, these stocks are cheap. If it tips into a decline in 2028, they are value traps.

Catalyst analysis

Table 9. Near-term catalysts (0 to 6 months)

Timing	Event	Relevance
30 Sep 2026 (after market close)	Micron FQ4 FY2026 results and FQ1 FY2027 guidance. Watch gross margin, the SCA/RPO update, capital returns and any word on a stock split.	MU; sector sentiment
Early Oct 2026 (estimated)	Samsung preliminary Q3 2026 earnings. The market expects operating profit of about KRW 114 trillion.	Samsung
Late Oct 2026 (estimated)	SK hynix Q3 2026 results and Samsung's full results, including the board decision on a Q3 dividend of about KRW 30 trillion.	SK hynix, Samsung
Oct to Dec 2026	DRAM and NAND contract price talks for 4Q26 and 1Q27. The best read on whether the price slowdown continues.	All three
Q4 2026	HBM4 ramp for Nvidia's Vera Rubin platform and HBM4E qualification.	HBM share
Jan 2027	Samsung board meeting on the remaining KRW 60 to 80 trillion of returns; FY2026 results for SK hynix and Samsung.	Samsung, SK hynix

Source: Micron IR, Samsung Global Newsroom, TradingKey, Herald Business. Dates marked 'estimated' follow historical patterns and still need confirmation.

Medium term (6 to 24 months). SK hynix opens the Yongin Fab 1 cleanroom in early 2027 and has pulled M15X forward. Micron bought a 300,000-square-foot cleanroom in Taiwan for US\$1.8 billion and is raising FY27 capex. SK hynix broke ground on its Indiana advanced packaging plant on 27 August 2026. CXMT is the one to watch. It has started mass production on its fifth-generation DRAM platform (which it says gets at least 50% more gross dies per wafer than the previous one), begun HBM3E risk production, and plans to start mass production at its Shanghai fab in 2027. IDC does not expect the smartphone market to grow again until 2028, when it forecasts a 5.5% recovery as memory supply normalizes.

Event-driven. Reuters reported on 16 September that SK hynix is in early talks with Intel about making memory in the US, either by leasing part of Intel's Ohio site or through a joint venture that would bring in cloud customers. SK hynix says nothing has been decided, and anything involving national core technology would need Korean regulatory approval. Beyond that, I am watching how fast SK hynix works through its KRW 40 trillion buyback, Samsung's KRW 15 trillion buyback for employee compensation, and a possible Micron stock split. I did not find any material M&A or spin-off catalysts.

Valuation and price targets

Memory stocks always look cheapest on P/E right at the top of the cycle, because the market does not believe peak earnings will last. So for the base case I use 6.5x to 8x year-two earnings rather than a market multiple. I weight the bear, base and bull cases at 25%, 50% and 25% for all three stocks so the comparison stays fair.

Table 10. 12-month valuation scenarios

Scenario	Micron	SK hynix	Samsung
Consensus (range)	US\$1,515 (US\$361 to 2,200)	KRW 3,184,025 (KRW 1.535 to 5.3 million)	KRW 475,850 (KRW 290,000 to 725,000)
Bull (25%)	US\$1,900 (+81%) FY27E EPS of US\$175 at 11x. The market starts treating Micron as a semi-contracted business because of the SCAs.	KRW 3,800,000 (+107%) 2027E EPS of about KRW 460,000 at 8.3x. The ADR listing pulls the multiple toward Micron's, and HBM4 share stays above 50%.	KRW 560,000 (+103%) EPS of about KRW 70,000 at 8x. HBM share goes past 35% and the 2nm foundry business turns around.
Base (50%)	US\$1,250 (+19%) FY27E EPS of US\$155 (consensus) at 8x.	KRW 2,700,000 (+47%) 2027E EPS of about KRW 415,000 at 6.5x.	KRW 410,000 (+48%) 2027E EPS of about KRW 63,500 at 6.5x.
Bear (25%)	US\$600 (-43%) Contract prices turn down in 2H27 and 2028 after the industry capex wave; FY28E EPS of about US\$75 at 8x.	KRW 1,150,000 (-38%) 2028 operating profit falls about 45%; EPS of about KRW 210,000 at 5.5x.	KRW 180,000 (-35%) Prices normalize in 2028; EPS of about KRW 35,000 at 5.1x.
Weighted target	US\$1,250 (+19%)	KRW 2,600,000 (+41%)	KRW 390,000 (+41%)

Source: author's calculations; consensus from S&P Global via StockAnalysis (Micron) and Investing.com (SK hynix, Samsung). Korean EPS is derived from FnGuide operating profit consensus.

Figure 15. Valuation scenarios against the reference price

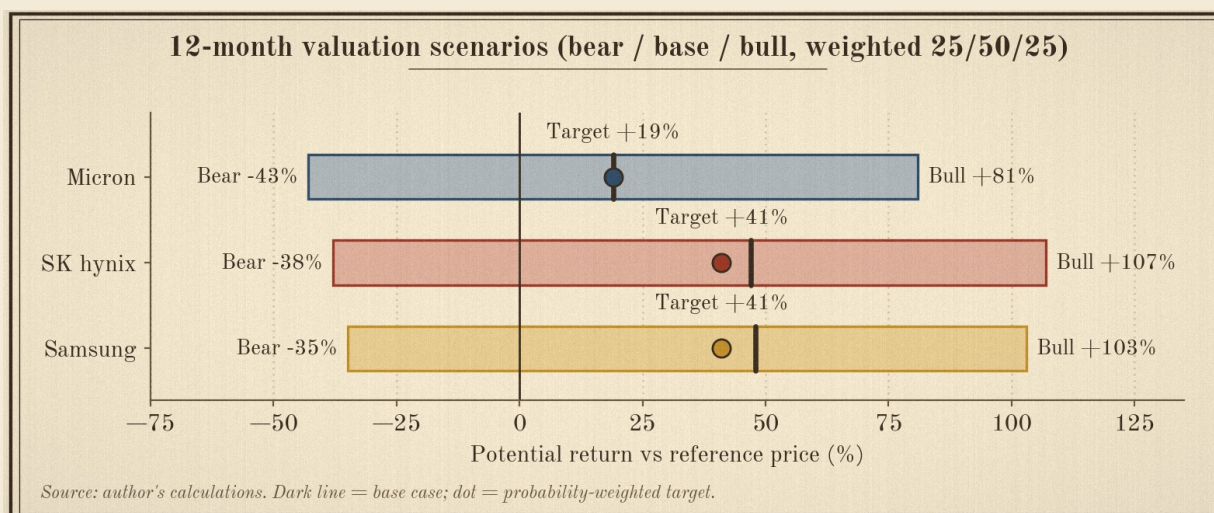
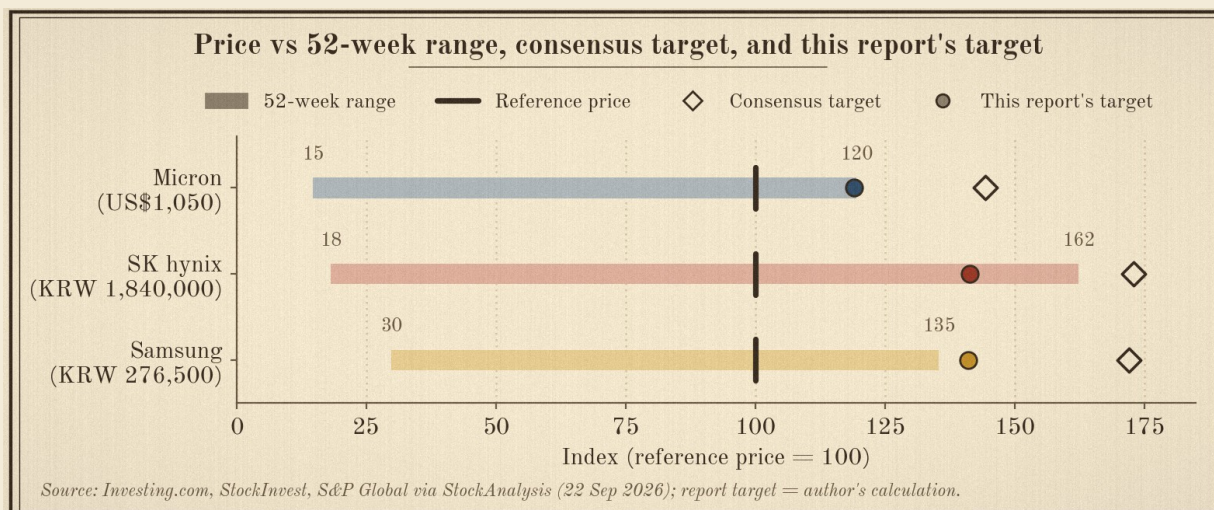


Figure 16. Price position, consensus target and this report's target

My targets are below consensus for all three stocks. Two choices explain most of the gap. I use lower multiples on what I think are peak earnings, and I give a 25% weight to a bear case built around new supply arriving in 2028. The Street seems to put less weight on that outcome than I do.

Risk assessment

Company risks

Micron has the smallest HBM share (18%), so it has the most to lose if HBM pricing weakens. Its own FQ4 guidance already points to slower price increases, the 30 September print is binary, and labor talks in Taiwan could make headlines.

SK hynix is losing HBM share quickly (58% to 50% in one quarter) as Samsung ramps HBM4, and it has less conventional DRAM to fall back on. TrendForce noted that HBM contract prices dipped at points in 2026. Any US production plan may also face a review by the Korean government.

Samsung's phone business is losing money because of memory costs. Foundry is still recovering, and moving HBM4E from samples to high-volume production is not a given.

All three face CXMT, which now has about 10% of global DRAM revenue, raised roughly US\$8.6 billion in its IPO and is moving into the commodity DRAM space the big three are leaving behind. That could weaken their pricing. The 2026 to 2027 capex wave and weaker consumer demand are the other big shared risks.

Macro risks

Memory stocks are high beta (Micron is about 2.2), so rising rates or a rotation out of tech hits them hard. The biggest single risk is a slowdown in AI capex. SK hynix ADRs fell 6.3% in one session on nothing more than worries that frontier AI development might slow. The won is another issue. It hit a near two-year high in September, which shrinks earnings reported in KRW. Korean retail leverage adds its own volatility: the KOSPI dropped 6.6% on 19 August and bounced 5.9% the next day. Export controls, tariffs and US-Iran tensions round out the geopolitical list.

Position sizing and ESG

I would size Samsung at 3% to 5% of an equity portfolio, SK hynix at 2% to 4% and Micron at 1% to 2%, and keep total memory exposure at 8% to 10% or less since the three tend to move together. The volatility justifies caution. The SOX fell more than 28% between its 22 June peak and the end of July 2026, and Micron options are pricing about a 10% move on a single earnings report. Samsung gets the largest weight because its business is more diversified and its capital return program is the biggest.

Memory fabs use a lot of energy and water, which matters for institutions with ESG mandates. Labor is material too. SK hynix agreed to pay most performance bonuses in stock, which lines employees up with shareholders but

adds some dilution. On governance, Samsung's chaebol structure and the holding company discount at SK Square (which owns 20% of SK hynix) are still concerns, although the large capital return programs have helped.

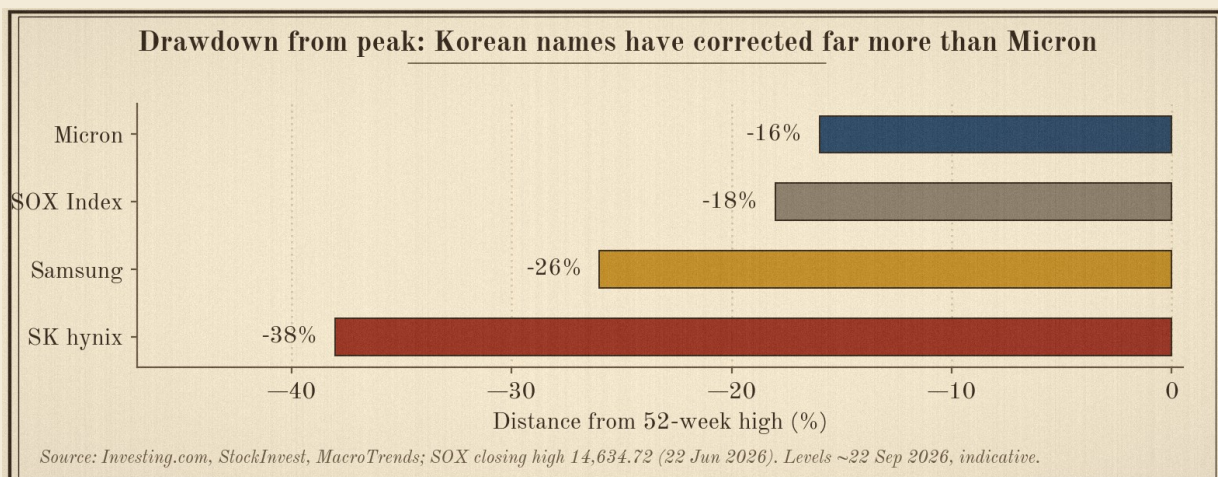
Technical context and options

Table 11. Technical context

Indicator	Micron	SK hynix	Samsung
Reference price	US\$1,050	KRW 1,840,000	KRW 276,500
Position within 52-week range	81%	57%	66%
Distance from 52-week high	-16%	-38%	-26%
Support	US\$914 to 930 (50-day and 100-day MA cluster); US\$900 to 906 (July low)	KRW 1,610,000 to 1,680,000 (August range); KRW 1,320,000 (late-July low)	KRW 254,500 to 261,000; KRW 207,000 (30 July low)
Resistance	US\$1,100; US\$1,213 (record close, 25 June); US\$1,255 (52-week high)	KRW 1,888,000; KRW 2,000,000 (round number); KRW 2,555,000 (June ADR reference price)	KRW 283,500 (22 Sep high); KRW 300,000 (round number); KRW 374,500
Moving averages	50-day ~US\$929; 100-day ~US\$914; 200-day ~US\$644	n.a.	n.a.
Momentum and volume	Up more than 14% in the 5 days to 21 Sep; RSI(14) about 61 (neutral); about 35 million shares traded on 18 Sep as the price rose	Stuck below KRW 1.888 million through September	Up 4.98% on 21 Sep on institutional buying, with the KOSPI back above 7,000
Options	Expected move of about 10.3% either way (~US\$104) for the 2 Oct expiry, based on the US\$1,015 straddle; put/call volume ratio of 0.53 (single-day snapshot)	No SKHY ADR options data yet	Single-stock options on KRX are limited

Source: TipRanks, Investing.com, MacroTrends, StockInvest, Trader Central, Stock Options Channel, Ad Hoc News. Support and resistance levels are the author's reading of reported price points.

Figure 17. Distance from 52-week highs



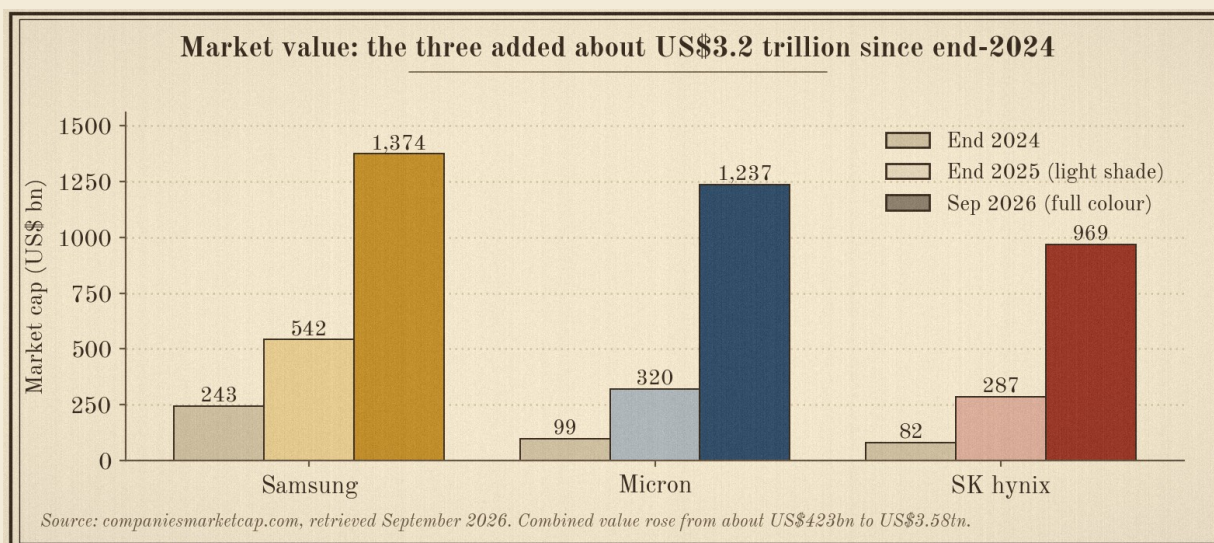
Micron is the closest to its high and sits above all of its major moving averages, with volume backing the uptrend. That leaves less room before resistance at US\$1,213 to 1,255 going into earnings. The 0.53 put/call ratio tells me options traders are leaning bullish, so expectations are already high. SK hynix and Samsung are still climbing back from the late-July selloff and have not cleared their main resistance levels. They have more room to run on the charts, but the trend still needs to prove itself.

Market positioning

Sector performance. The SOX closed at a record 14,634.72 on 22 June 2026, crossed into a bear market on 17 July at 11,673.89, and bottomed near 10,447 at the end of July, more than 28% off the high. It has since recovered to around 12,000, still about 18% below the peak. Micron was up 256% year to date at US\$1,016.59, though storage names did even better (SanDisk +633%, Western Digital +172%). The KOSPI closed at 7,007.72 on 21 September, below the roughly 7,700 it reached in June. Samsung was up about 135% year to date as of 21 August.

Rotation and relative strength. Ranked by distance from the high: Micron (-16%), the SOX (about -18%), Samsung (-26%) and SK hynix (-38%). The late-July selloff in Korea got worse because of deleveraging and worries about Chinese competition. Samsung dropped from KRW 254,500 on 13 July to KRW 207,000 on 30 July, and SK hynix from KRW 1.84 million to KRW 1.32 million. The capital return announcements in August started the recovery. This gap, in both valuation and relative strength, is the main reason I prefer the Korean names to Micron right now.

Figure 18. Market value, end 2024 to September 2026



In market value terms, Samsung (US\$1.374 trillion), Micron (US\$1.237 trillion) and SK hynix (US\$969 billion) are now the 12th, 13th and 17th most valuable listed companies in the world, according to companiesmarketcap.com. Together they have added about US\$3.2 trillion since the end of 2024. Measured from the end of 2025, Micron's market value is up 286%, SK hynix's 238% and Samsung's 153%. The ranking by gain is the reverse of the ranking by valuation, which is the relative strength point above in a different form.

Insider signals

Table 12. Recorded Micron insider transactions

Date	Insider (Micron)	Transaction	Value
26 Jun 2026	Sanjay Mehrotra (Chairman, President and CEO)	Several sales between US\$1,128 and US\$1,141 (10b5-1 plan)	Several small lots
30 Jun 2026	Lynn Dugle (Director)	Sold 1,300 shares at US\$1,150.43	~US\$1.5 million
23 Jul 2026	Scott Allen (CVP, Chief Accounting Officer)	Sold 879 shares at US\$1,000	~US\$0.9 million
24 Jul 2026	Sanjay Mehrotra	Sold 40,000 shares (10b5-1 plan adopted 30 Jan 2026)	~US\$37.3 million
18 Aug 2026	Sumit Sadana (EVP, Chief Business Officer)	Sold 15,000 shares at US\$934.29	~US\$14.0 million
21 Aug 2026	Sanjay Mehrotra	Sold 40,000 shares	~US\$38.8 million

Source: SEC Form 4, MarketScreener, TheStreet. I found no open-market insider purchases at Micron during this period.

Most of the Micron selling runs through 10b5-1 plans that were set up well before the July correction, so I would not read much into it. What stands out more is that no insider bought during a 32% drop from the June high. I read that as neutral, maybe slightly negative. On capital allocation, Micron has focused on paying down debt (US\$4.4 billion in FQ3) and raised its dividend by 30%.

The signals from Korea are much stronger. On 19 August 2026, SK hynix approved a KRW 40 trillion buyback and cancellation and committed to returning more than half of its cumulative 2025 to 2027 FCF, saying outright that its share price does not reflect intrinsic value. Samsung followed two days later with a KRW 90 to 110 trillion return plan for 2026. That includes a Q3 cash dividend of about KRW 30 trillion and a KRW 15 trillion buyback for employee compensation, and it puts total 2024 to 2026 returns at KRW 120 to 140 trillion. The SK hynix ADR listing did add about 17.79 million new shares (roughly 2.5% dilution), which the buyback partly offsets.

On institutional flows, foreign investors were net sellers on the KOSPI for 22 straight days in early June 2026. The 21 September rally, by contrast, was led by institutions buying chip stocks. This version does not yet cover Micron's 13F changes or Korean executive trades filed with DART.

Recommendation summary

Metric	Micron	SK hynix	Samsung
Rating	HOLD	BUY	BUY
Conviction	Medium	Medium	Medium-High
Price Target	US\$1,250	KRW 2,600,000	KRW 390,000
Timeframe	12 months	12 months	12 months
Upside/Downside	+19%	+41%	+41%
Position Size	1% to 2%	2% to 4%	3% to 5%

CONCLUSION: ANSWERING THE RESEARCH QUESTION

Is AI turning memory into a structural growth business? Based on the evidence up to September 2026, my answer sits in the middle. **AI has made this cycle longer and deeper, but it has not made it go away.**

The structural case rests on stages 4, 5 and 7 of the chain. Long-term contracts with price floors make part of the revenue behave more like a contract business: Micron has about US\$100 billion of minimum contracted revenue, SK hynix has LTAs with around 10 customers, and Samsung has 60% to 70% of its capacity under long-term deals. Cleanroom and EUV lead times make supply slower to respond than in past cycles. All three management teams expect conditions to stay tight past 2027.

The cyclical case rests on stages 5 and 8. DRAM price increases dropped from nearly 100% to the mid-teens in two quarters. Capex is surging everywhere, and CXMT is adding commodity supply. Phones and PCs are already seeing demand destruction, and 2028 consensus earnings are flat. The market is pricing these stocks at 4x to 7x earnings, which is what peak-cycle pricing usually looks like.

So I do not think the useful question is whether the cycle turns. It will. What matters is when, and how hard. If the earliest turn comes around Q4 2027, there is still a 12-month window of high earnings plus large buybacks and dividends. That is why I prefer the cheapest stocks with the biggest capital returns, Samsung and SK hynix, over Micron, which has the best momentum but also the richest valuation.

METHODOLOGY NOTES AND DATA LIMITATIONS

- Reference prices use closing prices from 21 and 22 September 2026. Micron is rounded to US\$1,050 from a reported range of US\$1,040 to US\$1,053.
- I derived 2026E and 2027E EPS for SK hynix and Samsung from FnGuide operating profit consensus, assuming an effective tax rate of 22% to 24% and share counts of about 745 million (SK hynix) and about 6.6

billion (Samsung, common and preferred). SK hynix's Q2 2026 net profit is excluded because of large non-operating gains.

- SK hynix EV uses end-Q2 2026 net cash (KRW 69.4 trillion) plus about KRW 45 trillion of ADR proceeds, before any buyback spending.
- Micron's FQ3'26 operating margin is an estimate based on a GAAP gross margin of 84.6% and GAAP opex of US\$1.74 billion.
- Micron's HBM share for Q2 2025 and Q1 2026 is the residual after SK hynix's and Samsung's shares.
- Market capitalizations for SK hynix and Samsung are indicative. Samsung's EV/EBIT uses end-Q2 2026 net cash of KRW 167.6 trillion from its 2Q26 earnings deck and common shares only.
- Catalyst dates marked 'estimated' have not been confirmed by the companies.
- Micron closed at US\$1,096.16 on 22 September after rising about 5% that day (MarketScreener, companiesmarketcap.com). At that price the US\$1,250 target implies about 14% upside rather than 19%. The rating stays HOLD on either reference price.
- Micron's US\$100 billion figure is minimum contracted revenue across 14 of 16 SCAs, as stated in the 24 June 2026 earnings deck. Reported RPO was about US\$5 billion at 28 May 2026.
- Table 5 mixes bases: Micron fiscal years under US GAAP (FY26E on non-GAAP actuals plus guidance), SK hynix and Samsung calendar years under K-IFRS.
- Die prices in Figure 4 are government-reported fixed-price references per chip, not contract transaction prices. Retail prices are the cheapest Amazon listing tracked by Keepa.
- Free cash flow for SK hynix and Samsung is operating cash flow less purchases of PP&E.

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